

Games Insurance Companies Play

How Carriers Minimize Your Claim — And What You Can Do About It

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This guide is provided for educational and informational purposes only. It is not legal advice. The information contained in this guide is based on the author's professional experience as a California Licensed Public Adjuster and may not apply to your specific situation or state.

Insurance policies, state regulations, and case law vary significantly from state to state and change over time. Always consult with a licensed public adjuster or attorney in your state before making decisions about your insurance claim.

The examples and scenarios described in this guide are drawn from real-world experience but have been generalized for educational purposes.

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Companies Play

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Chapter 1: The Game Is Rigged — But You Can Still Win

If you've ever filed an insurance claim and felt like something wasn't right — like the insurance company was working against you instead of for you — you're not imagining things. Insurance companies are enormously profitable businesses. They collect premiums from millions of policyholders, invest that money, and pay out as little as possible on claims. That's not cynicism — it's their business model. The less they pay you, the more they keep. After years of handling claims — first as an insurance company adjuster, then as a licensed public adjuster fighting for policyholders — I've seen every tactic in the book. Some are subtle. Some are brazen. All of them cost homeowners money they're legally entitled to. This guide will show you the most common games insurance companies play and, more importantly, what you can do about them. Knowledge is your best defense.

Chapter 2: The Lowball Offer

This is the single most common tactic. The insurance company sends an adjuster to inspect your property. They write an estimate. The estimate is too low. Sometimes dramatically too low. Here's what most people don't understand: the adjuster's estimate is not a final offer. It's an opening position. But the insurance company presents it as though it's set in stone — as though their adjuster scientifically measured your loss and arrived at the one true number. That's not how it works. Estimating property damage involves judgment calls at every step. What needs to be replaced versus repaired? What's the correct square footage? Which line items apply? What grade of materials matches what you had? Every one of these decisions affects the bottom line, and the insurance company's adjuster almost always makes those judgment calls in the company's favor.

How the Lowball Works in Practice

A homeowner has a kitchen water loss. The insurance company's adjuster writes an estimate for basic repairs — maybe some drywall and paint. But the water actually damaged the cabinets, the flooring underneath, the baseboards in the next room, and created conditions where mold could develop. None of that makes it into the first estimate. I've handled claims where the insurance company's initial estimate was a fraction of the actual cost to properly repair the home. Not because the adjuster was incompetent — although sometimes they are — but because the system rewards underpayment. Adjusters who write low estimates keep their jobs. Adjusters who write generous estimates don't last long.

Key Takeaway

The insurance company's estimate is their opening position, not a final answer. You have the right to challenge it with your own documentation, contractor bids, and professional estimates. Never assume the first number is the right number.

What You Can Do

- Get your own estimate from a licensed contractor or public adjuster.
- Document everything with photos and video before any repairs begin.
- Submit a detailed, line-by-line response showing what the adjuster missed.
- Don't accept a check that says 'final payment' unless you agree it is.
- Remember: you can file supplements for additional damage discovered later.

Chapter 3: Death by Delay

If the lowball is the most common tactic, delay is the most effective. Insurance companies know that time is on their side. The longer a claim drags on, the more desperate the homeowner becomes. Bills pile up. The damage gets worse. Eventually, many people just give up and accept whatever the insurance company offers. I've seen carriers assign three, four, even five different adjusters to a single claim. Every time a new adjuster takes over, the process starts from scratch. Each new adjuster needs to 'review the file' and 'get up to speed.' Weeks or months evaporate with each handoff. In many states, there are statutes that require insurance companies to act within specific timeframes. In California, for example, the insurance company must acknowledge your claim within 15 days, begin investigating within 15 days, and accept or deny the claim within 40 days of receiving proof of claim. When they have more than three adjusters within six months, you can request a special status report. But here's the reality: many carriers routinely violate these deadlines. They know that most policyholders don't know the deadlines exist, and even those who do rarely have the energy to enforce them.

Know Your State's Deadlines

Every state has claim handling regulations with specific deadlines. Learn your state's rules. Document every communication with dates. If the carrier is violating deadlines, file a complaint with your state's Department of Insurance.

What You Can Do

- Keep a written log of every phone call, email, and letter — with dates.
- Follow up every phone call with a confirming email: 'Per our conversation today...'
- Learn your state's claim handling timeframes and cite them in writing.
- File a complaint with your Department of Insurance if deadlines are violated.
- Consider hiring a public adjuster or attorney if delays become excessive.

Chapter 4: The Depreciation Squeeze

Depreciation is one of the most misunderstood — and most abused — aspects of insurance claims. Here's how it works: if you have a replacement cost policy, the insurance company first pays you the 'actual cash value' (ACV), which is the replacement cost minus depreciation. Once you complete repairs, they pay the remaining depreciation — the 'recoverable depreciation' or 'holdback.' The games start with how they calculate depreciation. I've seen carriers apply 25% depreciation across the board — to everything. That violates both common sense and the law in many states. You cannot depreciate everything the same way. A 20-year-old roof and a 2-year-old water heater have completely different useful lives. Applying the same percentage to both is lazy at best and deceptive at worst.

Labor Cannot Be Depreciated in Many States

Here's something many homeowners and even some adjusters don't know: in a growing number of states, labor cannot be depreciated. The logic is simple — you can't buy 'used labor.' When a roofer tears off your old shingles and installs new ones, the labor cost is the same whether the shingles being replaced are 5 years old or 25 years old. If your insurance company is depreciating labor, check your state's laws and case law. This is an area where many carriers are quietly taking money out of policyholders' pockets, and it adds up fast. On a large claim, improper labor depreciation can mean thousands of dollars.

Watch for Blanket Depreciation

Depreciation must be calculated item by item based on the actual condition, age, and useful life of each component. Blanket depreciation percentages are a red flag. And in many states, labor cannot be depreciated at all.

Materials That Don't Depreciate

Some materials don't lose value during the life of a building. Concrete doesn't wear out in 20 years. Copper pipe doesn't either. Many structural components are essentially permanent. If the insurance company is depreciating items that don't actually lose value over time, they're overcharging you on depreciation.

What You Can Do

- Ask for an itemized depreciation schedule — not a blanket percentage.
- Challenge depreciation on labor if your state prohibits it.
- Challenge depreciation on long-life materials like concrete, copper, and framing.
- Make sure depreciation reflects the actual condition of your property, not just its age.
- Remember: you're entitled to recover withheld depreciation once repairs are completed.

Chapter 5: Shrinking the Scope

Scope of loss — what's included in the claim — is where some of the biggest money disappears. The insurance company's adjuster inspects your home and decides what was damaged. If they don't include something in their scope, you don't get paid for it. The problem is that water, fire, and wind damage aren't always obvious. Water travels behind walls. Smoke infiltrates HVAC systems and attic spaces. Wind damage to a roof might not be visible from the ground. A quick inspection by an adjuster who's handling 50 other claims isn't going to catch everything. I've seen claims where the adjuster scoped a water loss in the kitchen but completely ignored the damage to the adjacent hallway and bedroom where water had migrated under the flooring. I've seen fire claims where smoke damage to contents in closed rooms was dismissed because the adjuster couldn't see it on a quick walkthrough.

Common Items Left Off Estimates

- Overhead and profit (O&P) for the general contractor managing the project.
- Building permits and code upgrades required by local ordinances.
- Temporary living expenses (Additional Living Expenses / Loss of Use).
- Contents cleaning or replacement in adjacent rooms.
- Removal and replacement of undamaged items to access damaged areas.
- Matching — replacing undamaged materials so repaired areas match the rest of the home.
- Testing and monitoring (moisture readings, air quality, mold testing).
- Pack-out and storage of contents during repairs.
- Temporary utilities like portable toilets or temporary kitchen setups.

Key Takeaway

If something was damaged or needs to be addressed as part of the repair, it belongs in the scope. Don't let the adjuster's estimate define the boundaries of your loss. Your loss is what it is — the estimate should reflect that, not the other way around.

Chapter 6: The Preferred Vendor Trap

Many insurance companies will tell you they have a 'preferred vendor' or 'managed repair program.' They'll offer to send you a contractor. They'll make it sound convenient. What they won't tell you is that these contractors work for the insurance company, not for you. Preferred vendors get their business from the insurance company. Their loyalty is to the company that sends them work, not to the homeowner. I've seen preferred vendors do substandard work, skip items on the scope, and use cheaper materials than what was originally in the home. When I worked for a preferred vendor contractor, they had a program where they wanted us to buy materials from Home Depot with a special account so the insurance company could get a volume discount on building materials. In many states, you have the absolute right to choose your own contractor. The insurance company cannot force you to use their preferred vendor. They can suggest it, but they cannot require it.

Your Right to Choose

You have the right to choose your own contractor in most states. Don't let the insurance company pressure you into using their preferred vendor unless you've independently verified the contractor's quality and reputation.

Chapter 7: Weaponizing the Policy Language

People will tell you to 'just read your policy.' That sounds reasonable, but it misses a critical point. The policy doesn't tell you what the case law says. It doesn't tell you what the state regulations require. And it doesn't tell you about the culture and internal practices of your specific insurance company. Insurance companies write their own policies. They choose every word carefully, with armies of lawyers, to protect themselves. When there's ambiguity in the language — and there's always ambiguity — the insurance company interprets it in their favor. But courts have consistently held that ambiguous policy language should be interpreted in favor of the policyholder, not the insurer. Many policies contain language that directly contradicts state statute. The insurance company may point to their policy as justification for denying a claim, but if the policy language violates state law, the state law wins. This is something most policyholders never learn, and it costs them dearly.

Key Takeaway

Your policy is not the final word. State statutes and case law can override policy language that is unfair, ambiguous, or illegal. 'Read your policy' is only the first step — understanding how the law interprets that policy is what really matters.

Chapter 8: Protecting Yourself Knowing the games is half the battle. Here's your playbook for fighting back. Before You File a Claim

1. Document your property thoroughly — take photos and video of every room, every surface, inside closets, in the attic, under sinks. Do this regularly, not just after damage occurs.
2. Read your policy's declarations page to understand your coverage limits and deductible.
3. Know your state's Department of Insurance website and complaint process.
4. Keep a file with your policy, your agent's contact information, and your documentation.

After You File a Claim

1. Document the damage immediately with photos and video. Don't wait for the adjuster.
2. Make emergency repairs to prevent further damage, but keep receipts and take photos before and during.
3. Keep a detailed log of every communication — who you talked to, what was said, the date and time.
4. Get your own estimate from a licensed contractor or public adjuster.
5. Don't sign anything that says 'final' until you're certain all damage has been accounted for.
6. If the adjuster's estimate seems low, challenge it with specific documentation.
7. If you're getting the runaround, consider hiring a licensed public adjuster or consulting an attorney.
8. File a complaint with your Department of Insurance if the carrier violates state

regulations. What Is a Public Adjuster? A public adjuster is a licensed professional who works exclusively for the policyholder — never for the insurance company. Unlike a contractor or attorney, a public adjuster specializes in the claim process itself: documenting damage, preparing estimates, negotiating with the carrier, and making sure you receive every dollar your policy provides.

If you're dealing with an insurance company that isn't treating you fairly, you don't have to fight alone. A licensed public adjuster works for you — not the insurance company — to make sure you receive every dollar you're entitled to under your policy. Visit: insuranceclaimsinfo.com Free resources, guides, and expert help for policyholders Leland Coontz California Licensed Public Adjuster

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